

The absolute return calculation based on Formula 1 would come out to be:

$$\text{Absolute ROI} = (15 - 10)/10$$

$$= 5/10$$

$$= 0.5 \text{ (or 50\%)}$$

So, the case of Example 1 would give 50% Absolute ROI in our case. While this kind of returns is easy to calculate, they do not account for the time period in which the returns have been achieved. As you can see that 50% returns in the above example was a result of 2 years of investment. The time period for returns is a very important factor because the money that may have eroded because of inflation depends on the time period.

Also, it becomes almost impossible to see which investment is better than the other if these investments are done over different time periods. Let us go to the next step and look at a little more advanced way of calculating returns, which also accounts for the time period in which returns have been received.

Technical Concepts in Financial Independence	
Evolution of Money	Cost Inflation Index
Absolute Returns	Taxes
Annualized Simple Interest Returns	Present and Future Value of Money
Compounded Annual Growth Rate (CAGR)	Rupee Cost Averaging
Internal Rate of Return (IRR)	Portfolio Asset Allocation

Annualized Simple Interest Returns

Now that you know that absolute returns may not be the best way to compare returns received from different investment tools across different time periods, we can use another simple formula which can help us provide an annualized version of the returns on investment. We term this as Simple Annual ROI.